

HOUSE BILL 981

By Miller

AN ACT to amend Tennessee Code Annotated, Title 16,
Chapter 18, Part 3; Title 39, Chapter 17, Part 4
and Title 40, relative to marijuana.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 39-17-418(a), is amended by redesignating the existing language as subdivision (a)(1) and adding the following as a new subdivision (a)(2):

(A) Notwithstanding subdivision (a)(1), it is not an offense for a person to possess in an amount less than one (1) ounce (28.35 grams) or possess five (5) or fewer marijuana plants. It is also not an offense for a person to casually exchange a small amount of marijuana not in excess of one-tenth of one (0.1) ounce (2.835 grams).

(B) As used in this subdivision (a)(2):

(i) "Casually exchange" means the spontaneous passing of a small amount of marijuana that does not involve, in exchange for the marijuana, the payment of money or a gift card, debit card, credit card, or any other card, coupon, or token that is capable of being exchanged for money, merchandise, or goods; and

(ii) "Marijuana" means marijuana in the form of a plant and does not mean marijuana in any other form, including, but not limited to, a resin, compound, derivative, concentrate, or oil.

(C) Notwithstanding subdivision (a)(2)(A), a municipality, including a county with a metropolitan form of government, may establish by ordinance that a person who, in a public place, possesses or casually exchanges an amount of marijuana described in

subdivision (a)(2)(A) or who possesses five (5) or fewer marijuana plants that are not concealed from public view commits a violation that is subject to a civil penalty not to exceed two hundred fifty dollars (\$250) to be calculated at twenty-five dollars (\$25.00) per one-tenth of one (0.1) ounce (2.835 grams) and fifty dollars (\$50.00) per plant.

(D) Notwithstanding subdivision (a)(2)(A), a county by resolution of its county legislative body may establish that a person who, in a public place that is not within the corporate boundaries of a municipality, possesses or casually exchanges an amount of marijuana described in subdivision (a)(2)(A) or who possesses five (5) or fewer marijuana plants that are not concealed from public view commits a violation that is subject to a civil penalty not to exceed two hundred fifty dollars (\$250) to be calculated at twenty-five dollars (\$25.00) per one-tenth of one (0.1) ounce (2.835 grams) and fifty dollars (\$50.00) per plant.

SECTION 2. Tennessee Code Annotated, Section 39-17-418, is amended by deleting subsection (b) and substituting:

(b) It is an offense for a person to sell or distribute marijuana in an amount less than one (1) ounce (28.35 grams).

SECTION 3. Tennessee Code Annotated, Section 39-17-418(d), is amended by deleting the language "A violation of subsections (a) or (b)" and substituting the language "A violation of subdivision (a)(1) or subsection (b)".

SECTION 4. Tennessee Code Annotated, Section 39-17-417(g)(1), is amended by deleting the language "one-half ($\frac{1}{2}$) ounce (14.175 grams)" and substituting the language "one (1) ounce (28.35 grams)".

SECTION 5. This act takes effect July 1, 2025, the public welfare requiring it.